Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO.A [MI KEY: 6276892; SPCIQ KEY: 877906; TCUID: 53231]

Additional Disclosure

Year: Methodology Year: 2023
Question: CEO-to-Employee Pay Ratio
Include Modeled Scores : Yes

CEO-to-Employee Pay Ratio

Question

Does the company track the ratio of the median or mean employee compensation or the total annual compensation of the CEO?

Rationale

In the aftermath of the global financial crisis, many countries have implemented or are planning to implement reforms regarding the transparency of executive compensation. Transparency is vital to restore trust among shareholders, employees, customers and other stakeholders, and hence to improve corporate reputation. Companies that are taking a proactive approach to align their reporting with this global trend and improve disclosure about executive compensation will be in a better position to fend off criticisms than those that are not.

In addition to complying with new regulations, transparent reporting on CEO compensation and the mean or median compensation of other employees provides a basis for understanding the "pay gap" and addresses concerns from investors and stakeholders about whether or not executive compensation is justified.

In this question, we assess whether companies (including non-US-based companies) are able to disclose this information. The Dodd-Frank Wall Street Reform and Consumer Protection Act (Pub.L. 111-203, H.R. 4173) is a federal statute in the United States that was signed into law by President Barack Obama on July 21, 2010. The Dodd-Frank Act clearly states that, in terms of CEO compensation disclosure, a company will be obliged to disclose to the shareholders: the median of the annual total compensation of all employees of the issuer, except the chief executive officer (or any equivalent position), the annual total compensation of the chief executive officer, or any equivalent position, and the ratio of the amount of the medium of the annual total with the total CEO compensation.

Performance Summary

Question Level Company Performance	36
Question Weight	5
Year-on-Year Change	(2)
Industry Average Score	48
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Salary: It is defined here as the total annual compensation including all bonuses but excluding pension benefits and fringe benefits.

Total annual compensation: It is defined here as the total compensation including all bonuses but excluding pension benefits and fringe benefits.

Median of the total annual compensation of all employees: It is defined according to the general mathematical definition of median: the median of a sequence is the middle number when sorting all numbers from low to high. This is different from the mean of the total annual compensation of all employees since the mean of a sequence of numbers is calculated by adding up all the numbers in a sequence and dividing this total by the number of entries in the sequence. In this question, either the median or the mean may be provided; it is not necessary to provide both.

The ratio should be calculated as the Total CEO Compensation divided by the Median OR Mean employee compensation (i.e. the reported figure should be the multiple of the employee compensation).

Data Requirements

While we expect the figure to cover the entirety of a company's global operations, for this question, companies may make **cost-of-living adjustments** to the compensation of employees residing in a jurisdiction different from that of the CEO, provided that these adjustments are applied to all such employees included in the calculation, and that these adjustments are explained in the **company comment section,** and the raw, unadjusted data is also provided in the company comment section.

Disclosure requirements for partially public question.

For Listed companies: Additional credit will be granted for relevant publicly available evidence covering one of the following aspects of this question:

- Annual compensation of Chief Executive Officer **and** median (mean) annual compensation of all employees except the Chief Executive Officer (or any equivalent position).
- Ratio between the total annual compensation of the Chief Executive Officer and the median (mean) employee compensation.

For **Non-Listed companies:** internal documents covering the above-mentioned information are generally accepted.

References

The Dodd–Frank Wall Street Reform and Consumer Protection Act (Pub.L. 111–203, H.R. 4173), www.gpo.gov/fdsys/pkg/BILLS-111hr4173enr/pdf/BILLS-111hr4173enr.pdf (p. 529)

Standards & Frameworks

GISD - Wage level (%)

GRI Disclosure - 2-21

IRIS+ - OCI3292

SFDR Principal Adverse Impacts - Social and employee matters

WEF Metrics - Wage level (%)

Data View

No information was found in the public domain.

Questionnaire

Please provide the annual compensation for the Chief Executive Officer and the median of the annual compensation of all other employees as well as the ratio between the two. If you are unable to provide the median, please provide figures for total mean compensation and the ratio using the mean. The currency provided should remain consistent for all figures.

1. ☐

CEO Compensation	Total CEO Compensation
Please indicate the total annual compensation of the Chief Executive Officer (or any equivalent position): *Total compensation includes fixed and variable compensation as well as all other parts of compensation which are required to be included in total remuneration reporting according to national accounting standards*	

Employee Compensation	Median Employee Compensation	Mean Employee Compensation
Please indicate either median or mean annual compensation of all employees, except the Chief Executive Officer (or any equivalent position):		
The ratio between the total annual compensation of the Chief Executive Officer and the mean or median employee compensation: *CEO compensation divided by the mean or median employee compensation*		
The currency used in the table:		

Public Reporting

1. ☐
   For **Listed companies**: The information is publicly available. Please provide link to public reports or corporate website.
   For **Non-Listed companies**: The information is available in internal documents, public reports or corporate website.
2. ☐
   We do not track the ratio of the median or mean employee compensation or the total annual compensation of the Chief Executive Officer
3. ☐
   Not applicable. Please provide explanations in the comment box below.
4. ☐
   Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.